

26SMCV00747 26SMCV00747

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Case Number: 26SMCV00747 Hearing Date: September 11, 2026 Dept: P

Tentative

Ruling

Regents

of the University of California v. Scan Health Plan, Case No. 26SMCV00747

Defendant's

Demurrer with Motion to Strike

Hearing

Date: September 11, 2026

Background

Plaintiff

The Regents of the University of California, on behalf of the UCLA Health System, ("The Regents") sue Defendant Scan Health Plan ("Scan") for breach of contract. The Regents allege that Scan provided, arranged, or paid for healthcare services for patients who received care at UCLA Health facilities. (Complaint, ¶ 7.) The Regents allege that Scan failed to pay it for services provided to Scan's patients at the rates agreed upon in the Letter of Agreement between the parties. (Id. at ¶ 12.)

On

February 13, 2026, The Regents filed the complaint.

On March

23, 2026, Scan filed this demurrer and motion to strike. On July 8, 2026, The

Regents filed opposition. On July 14, 2026, Scan filed a reply. On July 15, 2026, the parties continued the hearing on this motion to September 11, 2026. On August 28, 2026, The Regents filed opposition to Scan's Motion to strike.

Scan

demurs to The Regents single cause of action for breach of contract on the grounds that The Regents do not attach the operative agreements or plead the specific terms of the agreements they allege govern the care the patients received at UCLA Health facilities. (Demurrer, p. 2.) Scan also argues that The Regents do not plead breach of the agreement with sufficient specificity because it does not allege the amount billed, the amount paid, and the applicable rates. (Id. at p. 4.) Scan also argues that The Regents must plead any arbitration provision the agreement at issue contains, and that the complaint is uncertain because it alleges conflicting damages figures. (Id. at p. 5.)

In

opposition, the Regents argue that the complaint states a claim for breach of contract and that it is not required to attach the information Scan requests because it has plead the legal effect of the contract. (Opposition, p. 5.) The Regents argue that the complaint is not uncertain, the amount of damages at issue is not an element of a breach of contract claim, and the inconsistent damages claims are the result of a typo that can be corrected by a notice of errata. (Id. at p. 7.)

In reply,

Scan argues that The Regents did not plead the substance of the relevant terms of the contract and pleads only legal conclusions that are insufficient to state a claim for breach of contract. (Reply, p. 4.) Scan also argues that The Regents' failure to attach the contract prevents the Court from considering any forum selection or arbitration issues, even though Scan agrees that those issues must be raised on separate motions. (Id. at p. 8.)

Discussion

The

Regents state a claim for breach of contract

"The

standard elements of a claim for breach of contract are: "(1) the contract, (2)

plaintiff's performance or excuse for nonperformance, (3) defendant's breach, and (4) damage to plaintiff therefrom." (Wall Street Network, Ltd. v. New York Times Co. (2008) 164 Cal.App.4th 1171, 1178.)

A contract

need not be attached to a complaint. Its terms may be plead by legal effect. (McKell v. Washington Mutual, Inc., (2006) 142 Cal.App.4th 1457, 1489.) "In order to plead a contract by its legal effect, plaintiff must allege the substance of its relevant terms. This is more difficult, for it requires a careful analysis of the instrument, comprehensiveness in statement, and avoidance of legal conclusions." (McKell, supra, 142 Cal.App.4th 1457, 1489.) In the insurance indemnity context, the California Supreme Court found that a complaint stated a claim for breach of contract where it alleged that the insurance policy obligated the insurer to defendant and indemnify its insured and that the claim at issue fell within the scope of that obligation. (Construction Protective Services, Inc. v. TIG Specialty Ins. Co. (2002) 29 Cal.4th 189, 199.) In a mortgage fraud case, the Court of Appeal found that a complaint stated a claim for breach of contract where it alleged the rate and monthly payment on the loan, alleged that he performed by making payments, and that defendant's breached by refusing to accept payments. (Miles v. Deutsche Bank National Trust Co. (2015) 236 Cal.App.4th 394, 402.)

The Regents'

allegations are sufficiently specific to state a claim for breach of contract. The Regents do not allege only legal conclusions; they provide ultimate facts to support those conclusions. The Regents allege that UCLA Health provided treatment to six specific patients, identified by their file numbers, between January 4, 2021 and February 3, 2022 under their contract with Scan dated January 1, 2015, in which SCAN agreed to pay UCLA Health pursuant to the rates negotiated in the letter of agreement. (Complaint, ¶ 15; Exhibit 1.) The regents then allege that Scan breached the contract by underpaying by \$190,963.95. (Complaint, Exhibit 1.) These allegations are ultimate facts—they show how much Scan underpaid and for what treatment Scan underpaid. The Regents also allege which contract UCLA Health provided the care under. Additional detail is will be supplied through the discovery process. If The Regents are not forthcoming with discovery, Scan has options under the Discovery Act to obtain the necessary information.

Scan

argues that discrepancies in The Regents' claim for damages warrant a finding that the complaint is uncertain. The Regents allege that Scan owes them § 190,963.95 in three different places, including in the prayer for relief, and include the calculation behind that number in Exhibit 1. The allegation in paragraph 19 can be corrected by a notice of errata.

Since the

Court finds that The Regents' complaint states a claim for breach of contract, it also finds that the complaint is not uncertain.

Scan's

demurrer is OVERRULED.

The

Regents are not required to plead arbitration agreements or choice of law clauses

Scan

contends that The Regents must plead terms of the contract relevant to the Court's jurisdiction over this claim, but do not cite any authority supporting such a pleading requirement. This is not an issue properly raised on a demurrer. If Scan disputes the Court's jurisdiction, it can file a motion to dismiss. If Scan believes that this matter should be resolved in arbitration, it can petition or move to compel arbitration under the contract. All of the aforementioned motions are evidentiary motions to which Scan can attach the contract at issue.

Motion

to Strike

Scan moves

to strike paragraph two of the prayer for relief, The Regents' claim "for interest on such principal sum at the rate of fifteen percent (15%) per annum, pursuant to Cal. Health & Safety Code § 1371; or, in the alternative, for interest on such principal sum at the rate of 10% per annum, pursuant to Cal. Civ. Code § 3289." (Prayer for Relief; ¶ 2.)

Scan

argues that the complaint fails to state a claim under Cal. Health & Safety Code § 1371 because any such claim is preempted by Medicare Part C, 42 C.F.R. §

422.520(b), and because the complaint fails to plead the statutory requirements of the code section.

In opposition, the Regents argue that adjudication of this issue is premature.

In reply, Scan argues that the issue is not premature, and that if The Regents believe the claims fall outside of Medicare Part C, they should amend the pleadings to say so and add the required factual allegations.

Code of Civil Procedure section 436 provides that the Court may, upon a motion made pursuant to Code of Civil Procedure section 435, or at any time within its discretion and upon terms it deems proper, “strike out any irrelevant, false, or improper matter inserted in any pleading” and/or “strike out all or part of any pleading not drawn or filed in conformity with the laws of this state, a court rule, or an order of the court.” (Code Civ. Proc. § 436, subd. (a).) In passing on the correctness of a ruling on a motion to strike, judges read allegations of a pleading subject to a motion to strike, all parts in their context, and assume their truth. (Clauson v. Superior Court (1998) 67 Cal.App.4th 1253, 1255.)

The parties agree that preemption turns on whether any of the six patients at issue were Medicare Advantage enrollees. The face of the complaint does not establish whether the patients were Medicare Advantage enrollees. Ironically, the complaint gives patient file numbers, which allows the parties, but not the Court, to determine if the patients were enrolled in Medicare Advantage. The Regents have therefore given Scan notice of the patients' Medicare Advantage status. On this motion Scan doesn't argue that the interest is preempted because the patients are Medicare Advantage members, they seek to require The Regents to amend the pleadings to state if the patients are Medicare Advantage members. The Regents have already given Scan the information they need to figure that out.

Though the availability of interest under Cal. Health & Safety Code § 1371 is not clear, it will depend on the circumstances of each claim The Regents allege Scan underpaid. Interest under Cal. Health & Safety Code § 1371 is not

clearly barred based on The Regents' allegations, and therefore does not constitute "irrelevant, false, or improper matter" subject to a motion to strike.

Scan's

Motion to Strike is DENIED.

Conclusion

Scan's

Demurrer is OVERRULED.

Scan's

Motion to Strike is DENIED.